

Monthly Business Performance Report

AIFUL Corporation (standalone) · Unsecured personal-loan business · Results to **August 2026** · Outlook to August 2027

Executive summary

- **Demand is holding, conversion is not.** Applications rose 1.5% YoY in August (+1.0% fiscal year-to-date), but new accounts fell 5.9% (-7.4% FYTD) because the contract rate slipped to 28.2% (-2.2pt YoY; FYTD 28.4% vs 31.0%).
- **The book keeps compounding.** Unsecured balance reached ¥664.0bn (+6.8% YoY), with growth decelerating from ~9% a year ago. Customer accounts with a balance: 1,430k (+3.7%).
- **Credit quality improved.** The delinquent-loan ratio was 0.654% vs 0.749% a year ago, consistent with tighter screening explaining part of the lower contract rate. Interest-refund claims continue to fade (310 FYTD, -51%).
- **Outlook (FY2027/3):** applications ~996k (+1.2% vs FY2026/3), new accounts ~277k (-7.4%), March-2027 balance ¥687bn (+6.0% YoY; 80% range ¥670-706bn).
- **Macro conditions do not improve the forecast.** Adding unemployment, consumer confidence and inflation to the time-series model did not reduce error in a 54-month backtest. AIFUL's volumes are driven mainly by its own levers (marketing, credit policy, digital channels), which is where monitoring should focus.

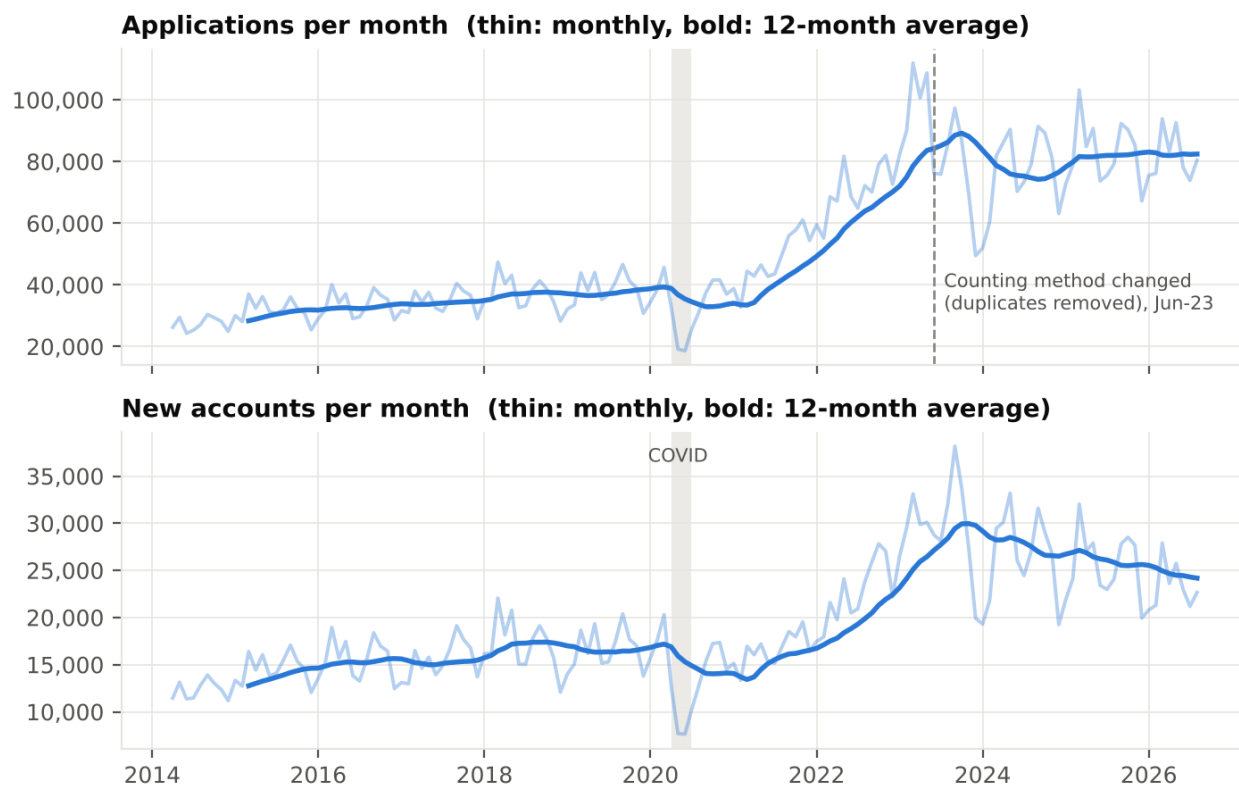
August 2026 scorecard

KPI	Aug-26	Aug-25	YoY	vs 1-month forecast	FYTD (Apr-Aug)	FYTD YoY
Applications (unsecured)	80,478	79,253	+1.5%	-2.1%	408,300	+1.0%
New accounts acquired	22,657	24,088	-5.9%	-6.7%	116,154	-7.4%
Contract rate (%)	28.2	30.4	-2.2pt	—	28.4	-2.6pt
Unsecured balance (¥mil)	663,982	621,893	+6.8%	+0.09%	—	—
Accounts with balance ('000)	1,430	1,379	+3.7%	—	—	—
Delinquent-loan ratio (%)	0.654	0.749	-0.095pt	—	—	—
Interest-refund claims	50	120	-58.3%	—	310	-50.8%

Colour shows direction for the business: green = favourable, red = unfavourable (for delinquency and refund claims a fall is favourable). 'vs 1-month forecast' compares the actual with a SARIMA forecast made with data to July 2026.

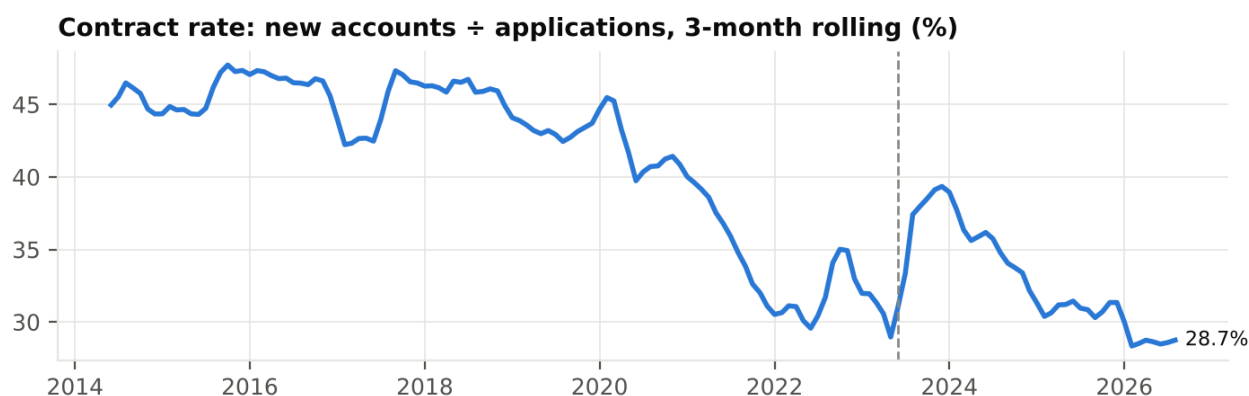
1. Customer acquisition funnel

Applications quadrupled between 2021 and 2023 and have since levelled off at around 80k a month (12-month average). Part of the 2023 peak was over-counting: AIFUL disclosed that duplicate applications were counted until May 2023, so earlier volumes are not like-for-like. The model includes an explicit term for that break.



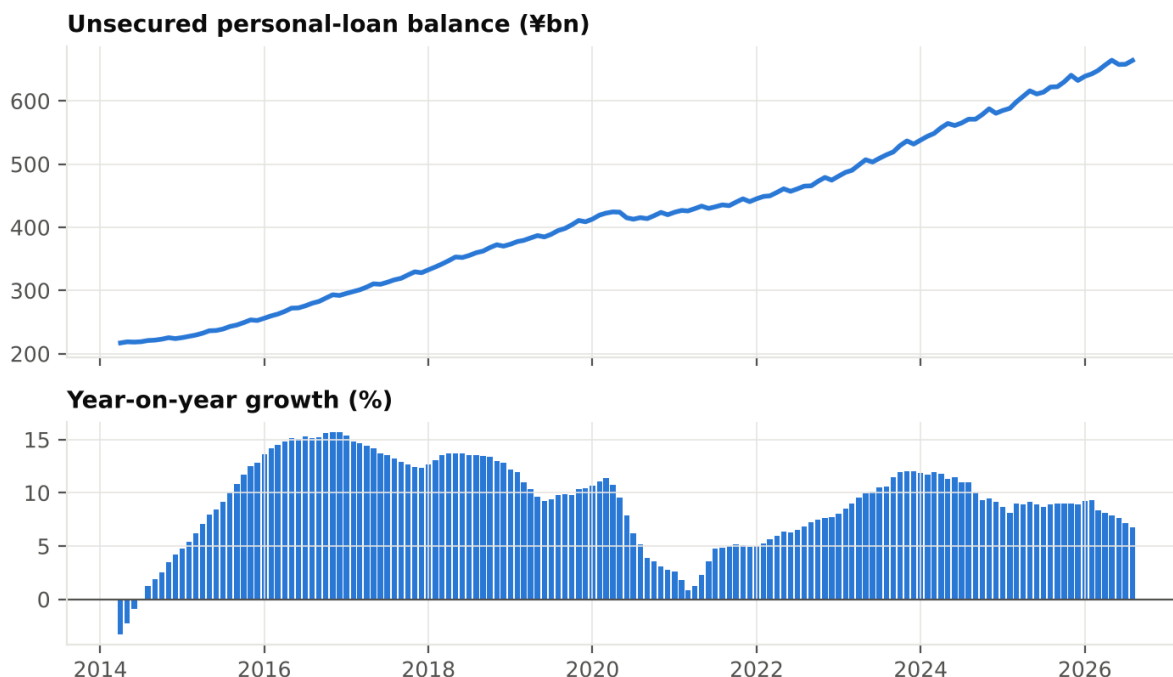
New accounts peaked in late 2023 and have trended down since. With applications flat, the gap is conversion: the contract rate has fallen from ~39% (late 2023, after the counting fix) to ~29%. Two explanations fit the public data, and they need different responses:

- **Tighter credit policy** (deliberate): consistent with the falling delinquency ratio (Section 2). If so, the lower rate is the cost of a better book and is acceptable.
- **Lower-intent application mix** (channel or marketing driven): e.g. more comparison-site or price-shopping traffic that never completes. This would show up as falling conversion in specific channels and is fixable. *Separating the two needs internal channel data* (Section 5).

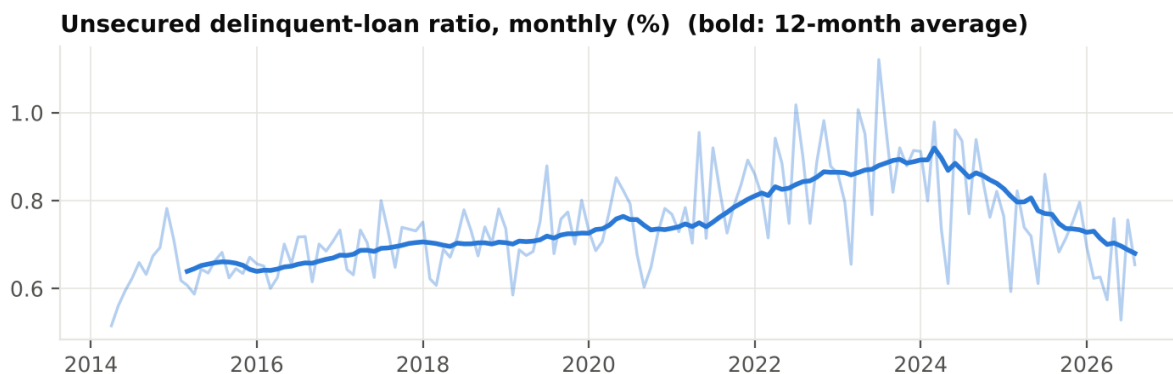


2. Portfolio growth and credit quality

The unsecured personal-loan balance has grown every year since 2015, reaching ¥664.0bn. Growth has slowed from a 2023-24 peak of ~12% to 6.8%, reflecting fewer new accounts. Because the balance moves slowly, it is highly predictable: the 1-month-ahead model error is under 0.3%.

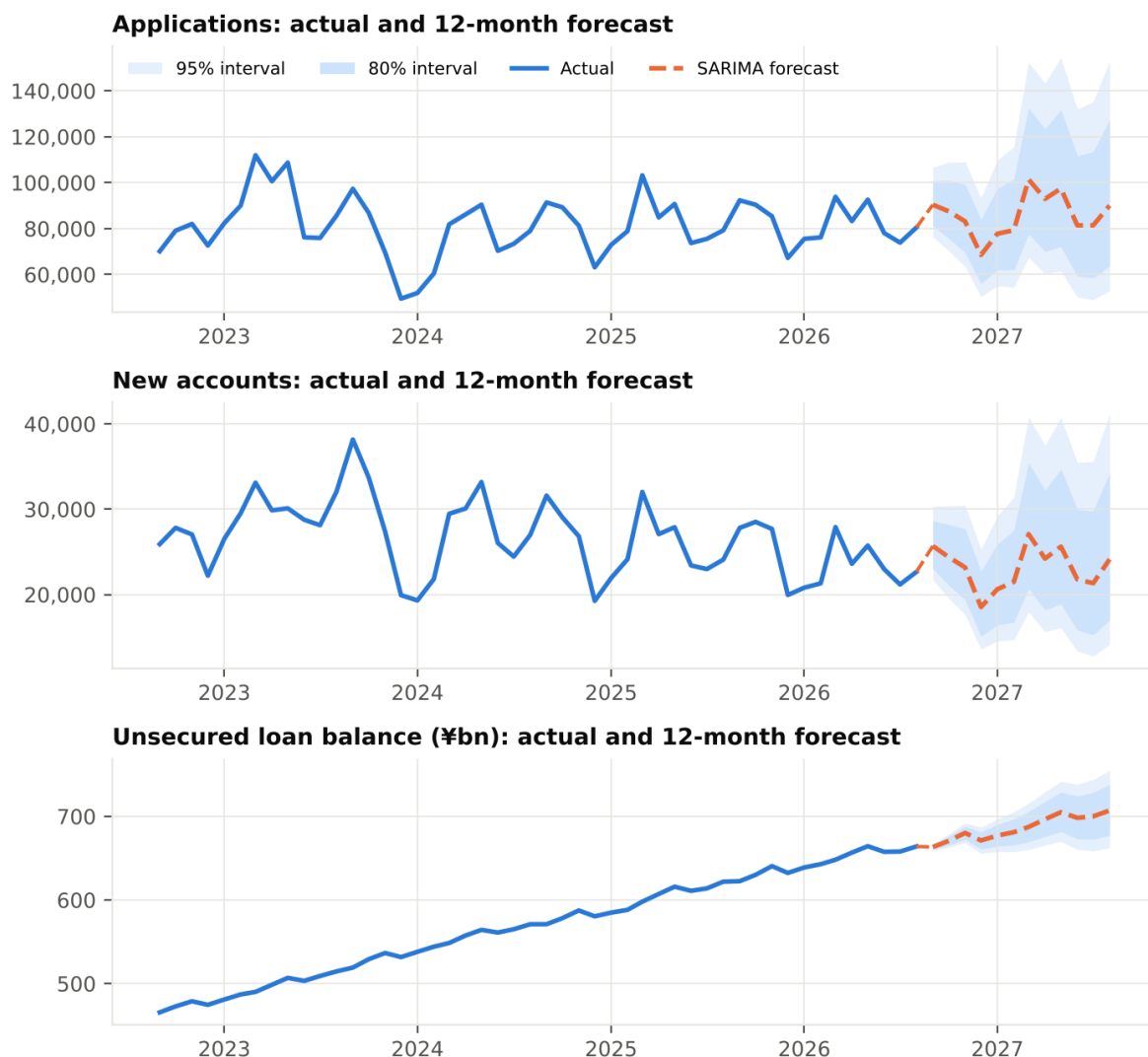


The delinquent-loan ratio (12-month average) has fallen from ~0.9-1.0% in 2022-23 to about 0.7%, with August at 0.654%. Combined with the lower contract rate, this suggests AIFUL is trading volume for quality. Interest-refund (grey-zone) claims are now a small residual (50 in August vs 3,000-4,000 a month in 2016).



3. Twelve-month outlook (September 2026 - August 2027)

Forecasts come from a seasonal ARIMA model on log values, with terms for the 2020 COVID shock and the 2023 application-counting change. Shaded bands are 80% and 95% prediction intervals. The volume series are noisy month to month (typical error ~11% at 1-6 months ahead), so management targets should be set on quarterly totals rather than single months.

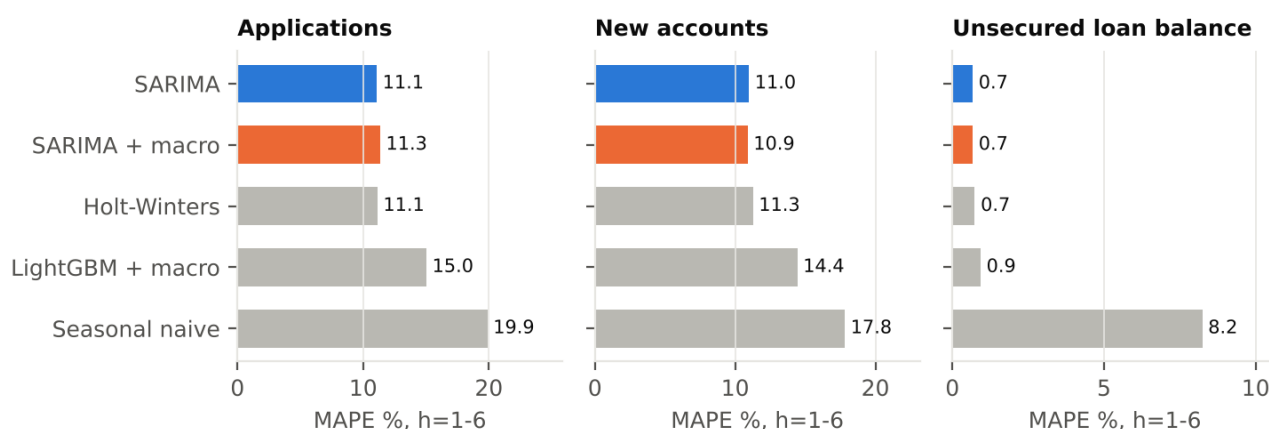


Forecast by fiscal quarter

Fiscal quarter	Applications	New accounts	Implied contract rate	Balance at quarter end (¥bn)
FY2027/3 Q2 (Sep only)	90,370	25,682	28.4%	663.3
FY2027/3 Q3	239,192	66,098	27.6%	671.1
FY2027/3 Q4	258,480	69,184	26.8%	687.3
FY2028/3 Q1	271,798	71,598	26.3%	698.2
FY2028/3 Q2 (Jul-Aug only)	171,446	45,453	26.5%	707.0

4. Do macro conditions help predict the business?

The test: an identical SARIMA model run with and without three macro drivers (change in unemployment, consumer confidence, core CPI inflation). Each driver is lagged six months so it is already published when the forecast is made. Every model was re-fitted at each of 54 monthly forecast origins (September 2021 - February 2026) and scored on the following 1-6 months.



Result. SARIMA cuts error versus a seasonal-naïve benchmark by 44% (applications), 38% (new accounts) and 92% (balance). Adding macro drivers does not improve it: MAPE is 11.3% vs 11.1% for applications and 10.9% vs 11.0% for new accounts. At one month ahead macro makes forecasts significantly worse for applications and balance (Diebold-Mariano $p = 0.02$ and 0.02). No horizon shows a significant gain.

Robustness: backtest MAPE (%) with alternative driver sets

Macro driver set (SARIMA + ...)	Applications	New accounts	Balance
No macro (SARIMA only)	11.08	10.98	0.67
Pre-specified: unemployment change, CCI, core CPI	11.35	10.89	0.67
Consumer confidence only	10.84	10.57	0.68
Unemployment change only	11.72	11.59	0.66
CCI income + employment sub-indices	10.85	10.77	0.66
Call rate + core CPI	13.44	13.12	0.68

No driver set improves MAPE by more than ~0.4pt. Consumer confidence alone comes closest, but it was chosen after seeing the results, so the small gain should not be treated as real.

Interpretation. In-sample, the macro effect on new accounts is *counter-cyclical* and statistically significant: weaker confidence and rising unemployment come before more new accounts six months later, consistent with households borrowing to cover income shortfalls. But the effect is small next to company-driven swings (the 2022-23 growth surge, the post-2023 slowdown), so it adds nothing out of sample. **For management, macro indicators belong on a watch-list for risk scenarios, not in the core forecast.**

Macro stress scenarios (direction only, low confidence)

Scenario (applied to Sep-26 onward)	Applications, 12m	New accounts, 12m
base (macro held flat)	+0.0%	+0.0%
downside: unemp +0.7pp, CCI -6, core CPI +1pp	+7.7%	+11.4%
upside: unemp -0.3pp, CCI +3	-2.5%	-3.7%

Effect on the 12-month balance forecast is under 0.2% in every scenario. A downside scenario raises *demand*; whether it raises bookings depends on credit policy, which the model does not see.

5. Distribution channels: what the public data cannot show

Muninova reports that more than 90% of AIFUL applications are now submitted online, that the whole process from application to contract can be completed in the smartphone app, and that cardless transactions are available at Seven Bank and Lawson Bank ATMs. The monthly disclosure has no channel breakdown, so this report cannot measure channel performance directly. With internal data, I would extend the model as follows:

Question for management	Internal data needed	Model / monitoring extension
Is the contract-rate decline caused by credit policy or by channel mix?	Applications, approvals and contracts by channel (web, app, phone, store / contract machine, affiliate / comparison sites) and by screening outcome	Decompose the contract-rate change into mix vs within-channel rate effects each month (shift-share analysis); alert when the within-channel rate moves more than 2 standard deviations
Which channels will drive next year's acquisition?	Monthly funnel counts per channel, 3+ years	Hierarchical forecasting: SARIMA per channel, reconciled (MinT) to the company total reported here, so channel plans sum to the same number as the corporate forecast
What does marketing buy?	Advertising spend by medium (TV, search, affiliate, SNS), campaign calendar	Add spend as regressors (adstock-transformed). Unlike macro, these are the levers the backtest suggests actually move volume
Is app and cardless usage changing customer value?	Logins, cardless ATM withdrawals by network (Seven Bank, Lawson Bank, other), repayment channel	Track the share of cardless and app-repayment users and their balance growth / delinquency vs card users; cohort retention curves by acquisition channel
Early warning on credit quality	Early-stage arrears (1-30 days) by channel and vintage	Vintage curves by acquisition month and channel; forecast the delinquent-loan ratio 3-6 months ahead from early arrears

6. Data and method

- **Company data:** AIFUL monthly data PDFs (Muninova Holdings IR, FY2014/3 - Aug 2026, 161 months), parsed automatically. All parsed values were checked against the published YoY percentages (max difference 0.05pt) and the published contract rate (= new accounts ÷ applications).
- **Macro data:** unemployment rate (Statistics Bureau Labour Force Survey), consumer confidence index (Cabinet Office ESRI, two-or-more-person households, seasonally adjusted), CPI (Statistics Bureau, 2025 base), hourly earnings, call rate and USD/JPY (via FRED/OECD).
- **Models:** seasonal naive; Holt-Winters (damped trend); SARIMA(1,1,1)(0,1,1)₁₂ on logs; the same SARIMA with macro regressors; LightGBM direct multi-horizon model. Expanding-window, rolling-origin evaluation with no look-ahead.
- **Caveats:** monthly account figures exclude part of the former LIFE receivables except at quarter-ends; applications before June 2023 include duplicates; the delinquency ratio covers former-AIFUL loans only. Forecasts assume no change in credit policy, interest-rate caps or marketing strategy.
- Code, data and full backtest tables: see the project repository (README).

Macro context used in the test

